

UAE Real Estate Market Sentiment Report 2026

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Executive Summary

The UAE property market enters the second half of 2026 in a “cautiously optimistic,” maturing phase rather than either a boom or a correction. After a record-breaking start to the year, a geopolitical shock in late February moderated activity through Q2, but transaction volumes, prices, and buyer intent have since stabilized at healthy — if less frenzied — levels. Sentiment has shifted from momentum-driven FOMO buying toward more selective, negotiation-based decision-making, which most analysts frame as a sign of a market maturing rather than weakening.

Sentiment snapshot:

- Buyer intent:** Still strong — roughly two-thirds of active property seekers say they plan to buy within six months, down only slightly from ~70% at the start of the year.
- Price expectations:** Volatile. The share of buyers expecting prices to fall spiked to 73% in March (post-shock panic) before easing back to 56% by June as the market stabilized.
- Investor behavior:** Owners are holding, not selling — in one high-net-worth survey, under 6% of property owners were actively trying to sell, and none were willing to meaningfully discount.
- Transactions:** Dubai did AED 286-420 billion (depending on measure) in H1 2026 sales, its second-strongest first half on record, despite an ~14-31% volume dip from H1 2025’s record pace.
- Abu Dhabi:** Outperforming on a relative basis — H1 transactions roughly doubled year-on-year, with residential prices up ~21-22%.

1. The Defining Event: The February 28 Shock

On February 28, 2026, regional military escalation brought missile and drone activity to UAE territory for the first time in modern history. This landed in the middle of what had been the strongest opening to a year Dubai’s market had ever recorded (January 2026 alone produced AED 72.4 billion in transactions, up 63% year-on-year).

The shock, combined with Ramadan/Eid seasonality and adverse weather, triggered:

- A sharp but short-lived drop in sentiment and enquiries
- Dubai’s first quarterly price decline since the pandemic (ValuStrat Price Index, down 3.8% in Q1)
- A roughly one-third drop in Q2 sales value versus Q1
- A spike in the share of buyers expecting prices to fall (peaking near 73% in March)

Analysts are broadly aligned that this was a **sentiment shock, not a structural break**. Residential capital values were still up 8.9% year-on-year even as the quarterly index dipped, and prime segments (Palm Jumeirah, Dubai Hills, Emirates Hills) kept appreciating through the disruption. ValuStrat’s Abu Dhabi coverage found no clear evidence that regional tensions materially dented that market’s fundamentals.

2. Buyer Sentiment Trend Through 2026 (Property Finder Market Pulse)

Property Finder’s bi-monthly Market Pulse survey is the most consistent read on UAE buyer psychology this year:

Survey period	Intend to buy in 6 months	Expect prices to fall
Jan-Feb 2026	~70%	36%
Mar-Apr 2026	68% (67-68% both months)	73% (Mar) / 70% (Apr)
May-Jun 2026	66%	63% (May) / 56% (Jun)

Reading the trend: Buying *intent* has held remarkably steady in the high-60s despite the February shock — a sign of underlying confidence in the UAE as a destination for capital and residency. What moved sharply was *price expectations*: fear of a correction spiked in the immediate aftermath of the shock, then eased steadily each month as prices stabilized (median price per sq ft was roughly flat at Dh1,334-1,335 in May-June versus Dh1,393 in April). Fewer buyers now believe a price drop is

coming than at any point since the conflict began.

3. Investor Sentiment (High-Net-Worth / Ownership Base)

A separate survey of high-net-worth investors (Christie's International Real Estate Dubai, April 2026) paints a picture of conviction rather than panic:

- 81% of respondents already own UAE property, mostly for investment
- Of current owners, fewer than 6% were actively trying to sell
- None of the active sellers were willing to meaningfully cut their asking price to close a deal

The framing among this cohort is that 2026–2027 rewards **precision over timing** — i.e., investors are becoming more selective about which assets and locations they commit to, rather than losing conviction in the UAE story overall.

4. Market Fundamentals Behind the Sentiment

Dubai:

- H1 2026: ~79,000–79,300 residential transactions worth AED 221–286 billion (measures vary by source/methodology), a 14–16% volume decline from H1 2025's record pace, but still the second-strongest first half ever recorded
- Weekly activity in August 2026 has held steady at roughly AED 6.6–7.7 billion and 3,000–3,600 transactions
- Average price around AED 1,700/sq ft; off-plan continues to lead by transaction count
- Villa prices have outperformed dramatically (freehold villa values up ~206% since the pandemic); apartment demand has cooled more, with apartment enquiries down ~31% year-on-year even as villa enquiries rose ~15%
- Rental yields remain attractive (~6.6%), and rents are still climbing in the most in-demand neighborhoods
- Population growth remains a structural tailwind: Dubai passed 4 million residents in 2025, with another 160,000–225,000 forecast for 2026, increasingly driven by long-term residents rather than short-term speculators

Abu Dhabi:

- H1 2026 transactions of ~AED 117 billion, up ~112% year-on-year — a much stronger growth rate than Dubai's
- Residential prices up ~21.6% year-on-year in Q2 (apartments +24.4%, villas +6.3%)
- Nearly 45% of market participants still plan to buy within 12 months
- A March month-on-month dip is attributed more to seasonal/registration effects than to any real drop in demand

Supply-side risk to watch: Dubai has a large incoming pipeline (~83,000–120,000 new units expected in 2026). How smoothly this supply is absorbed — alongside interest-rate moves and any renewed regional tension — is the key swing factor most analysts point to for pricing over the next 12 months.

5. The Bull Case vs. the Bear Case

Why some think the market is overheated:

- Cumulative prices are up roughly 78% since the current cycle began
- A large new-supply wave (up to 120,000 units in Dubai in 2026) could pressure prices if absorption slows
- Price-to-income ratios are stretched for the average resident wage-earner

Why others see the market as fundamentally sound:

- Demand is increasingly driven by end-users and long-term residents (via the Golden Visa program and population growth), not short-term flippers
 - The UAE remains tax-free and structurally cheaper per square foot than London, Hong Kong, or New York
 - Unlike the 2008 downturn — which was fueled by leveraged speculation and contract-flipping — today's buyer base is much more cash-rich and long-horizon, which most analysts cite as the reason a 2008-style 50–60% price collapse is unlikely to repeat
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6. Outlook for the Remainder of 2026

Industry sentiment for H2 2026 leans **cautiously optimistic**, with common threads across ANAROCK, Savills, ValuStrat, and Fitch-cited commentary:

- Continued but more moderate price growth (ANAROCK projects roughly 4-7% for Dubai across 2026), with prime and branded residences outperforming the broader market
- Off-plan share of transactions remaining dominant, gradually rebalancing supply and demand
- Sustained foreign investment, underpinned by residency incentives and the tax-free structure
- Growing investor interest spilling into emerging emirates such as Ras Al Khaimah
- Abu Dhabi maintaining stronger relative momentum than Dubai through the rest of the year
- Key swing factors to monitor: pace of new unit handovers (~83,000 forecast for Dubai), interest-rate direction (tied to EIBOR/Fed policy), and the durability of the post-February calm on the regional-security front

Sources

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- Property Finder Group — Market Pulse surveys (Jan-Feb, Mar-Apr, May-Jun 2026 editions)
- ZAWYA / Business Today ME / Economy Middle East — coverage of Property Finder Market Pulse findings

Note: Figures vary somewhat by data provider (Dubai Land Department vs. brokerage estimates), reflecting differing methodologies. This report synthesizes the consistent directional signals across sources rather than treating any single figure as definitive.